

ECONOMY / FINANCIAL AWARENESS



**INSOLVENCY
AND
BANKRUPTCY
CODE**

**MUTUAL
FUNDS**

BANK PO / LIC / SSC / GENERAL

MODULE - 4

- Bonds & Debentures
- Coupon Rate & Yield
- Primary Market & Secondary Market
- Foreign Portfolio Investment (FPI)
- Foreign Direct Investment (FDI)

WHEN DO I GET BONDS?



BORROWERS

- In case of Bonds / Debentures, the relationship is Borrower and Lender.
- Bonds / Debentures have interest rate, which is known as coupon rate.

BONDS



LENDERS



BONDS / DEBENTURES ... COUPON RATE / YIELD

Learning Space

PRIMARY
MARKET

SELLING OF BONDS/ DEBENTURES
IN SECONDARY MARKET

SECONDARY
MARKET

एनटीपीसी
NTPC

ON PREMIUM



FACE VALUE
Rs. 100

Coupon Rate
10%



HENCE

RESALE VALUE
Rs. 110

Yield

Here Rs. 10 Interest is on bond resale value of Rs. 110, makes Yield of around 9%

Rs. 10 Interest paid every year

When bond value is increased, yield is reduced (yield is less than the coupon rate)

Rs. 10 Interest paid every year

NOTE Only the concept of 'yield' is explained for your understanding, but not 'yield to maturity'.



BONDS / DEBENTURES ... COUPON RATE / YIELD

Learning Space

PRIMARY
MARKET

SELLING OF BONDS/ DEBENTURES
IN SECONDARY MARKET

SECONDARY
MARKET

एनटीपीसी
NTPC

ON DISCOUNT



FACE VALUE
Rs. 100

Coupon Rate
10%

RESALE VALUE
Rs. 90

Yield

HENCE

When bond value is decreased,
yield is increased (yield is more
than the coupon rate)

Here Rs. 10
Interest is
on bond
resale value
of Rs. 90,
makes Yield
of around
11%

Coupon
Rate 10%
(Interest
on Face
value) i.e.,
Rs. 10
every year

Rs. 10 Interest paid
every year

Rs. 10 Interest paid
every year

NOTE Only the concept of 'yield' is explained for your understanding, but not 'yield to maturity'.



SECURITIES MARKET

PRIMARY MARKET

- Companies go for expansion by raising funds through IPOs.
- Companies take the help of Investment Banks to work as underwriters (to render services like pricing, establishing market etc.).

SECONDARY MARKET

- It is institutional set up where shares, bonds, debentures are traded.
- First Stock Exchange was established in Antwerp, Belgium in 1631.
- In India, BSE and NSE are the main Stock Exchanges.



STOCK EXCHANGES

**BSE**

- It is Bombay Stock Exchange Ltd.
- Initial name was “the Native Share and Stock Brokers’ Association” (1875).
- Asia’s first Stock Exchange.
- BSE SENSEX (Sensitive Index) is the 30 Stock Index of BSE and is widely regarded as the benchmark.
- Base year 1978-79 and Index is 100 as on 1st April, 1979.
- On 25 July 2001 BSE launched DOLLEX-30, a dollar-linked version of the SENSEX.

**NSE**

- It is National Stock Exchange of India Ltd.
- Established in 1992.
- Sponsors are DFIs including IDBI, LIC, GIC etc.
- NIFTY 50 is the Index of the 50 top shares from several sectors.
- Base year 1995, Base Index 1,000.
- NIFTY 50 was developed by Ajay Shah and Susan Thomas.



FOREIGN PORTFOLIO INVESTMENTS (FPIs)



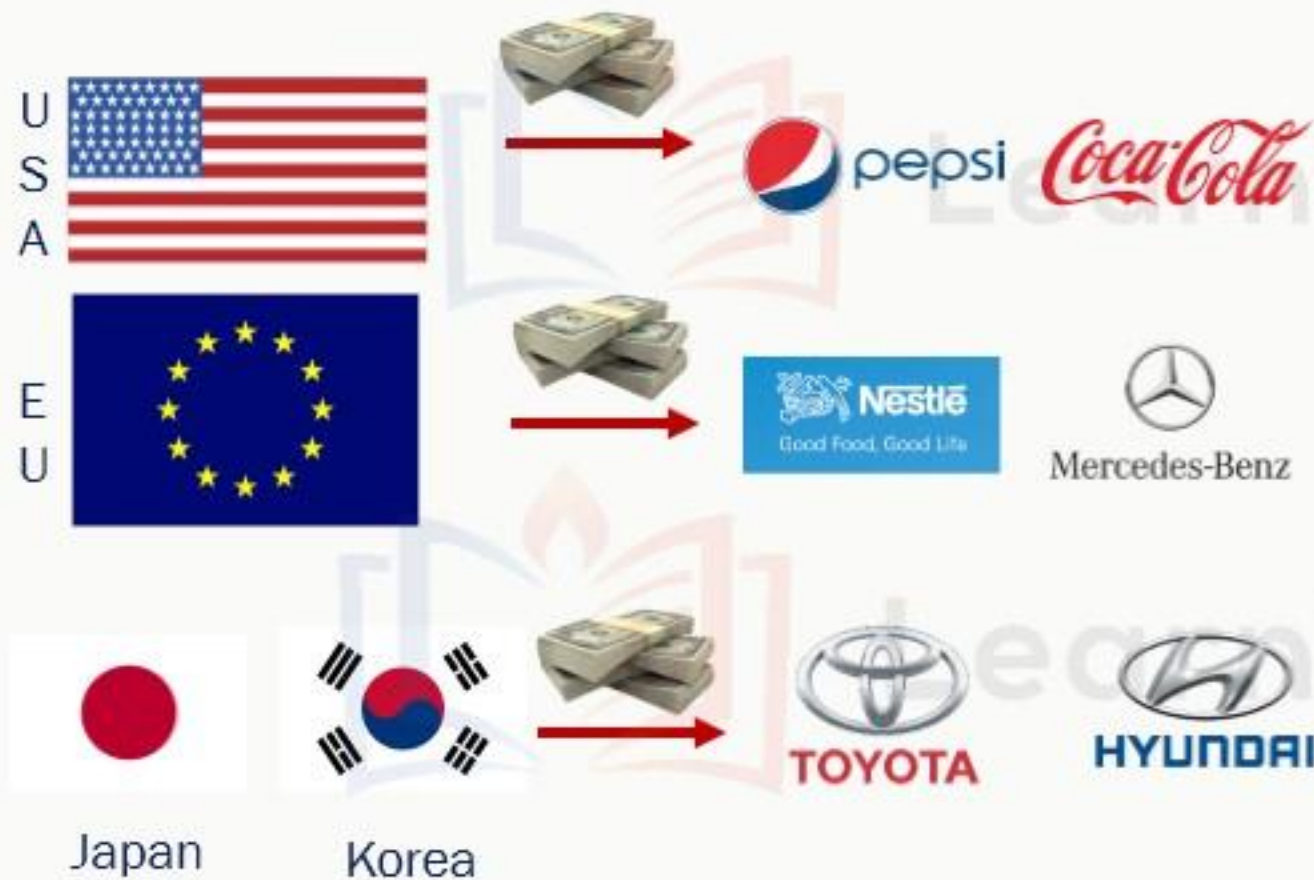
FOREIGN PORTFOLIO INVESTMENTS (FPIs)



- Hot money
- Passive investment
- Highly volatile / not stable
- Can come and go at any time
- Asset bubbles / asset crashes
- Currency appreciation / depreciation
- Developing countries are affected

FOREIGN DIRECT INVESTMENTS (FDIs)

FOREIGN DIRECT INVESTMENTS (FDIs)



- Stable, long term
- Stays on for longer time, not easy to exit
- Indicate interest to establish enterprise
- Creates jobs
- Comes with modern technology
- Aids in GDP
- Invests in physical assets
- Countries with stable policy and conducive environment attracts FDI

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